
Transport

UK government considers linking rail fare rises to lower rate of inflation

Chancellor has been pushing cabinet ministers to find ways to reduce financial pressure on households ahead of Budget



Rail industry figures said Reeves and her Treasury team have taken a direct interest in the next set of fare rises © Neil Hall/EPA

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Ministers are debating whether to link rail fare increases to a lower rate of inflation as the government tries to bear down on price growth, according to people familiar with the discussions.

The Department for Transport is considering a switch to the Consumer Price Index to calculate how much rail fares rise each year in England rather than the Retail Price Index, which tends to run at a faster pace, the people said.

The discussions come as chancellor Rachel Reeves tries to clamp down on the cost of living in a Budget that is expected to contain cuts to VAT on energy bills and potentially also to levies that fund energy efficiency programmes.

Reeves has been pushing cabinet ministers to find ways to reduce the financial pressure on households and create more space for the Bank of England to cut interest rates by bringing down inflation.

Rail industry figures said Reeves and her Treasury team have taken a direct interest in the next set of fare rises, which are typically announced in late December to take effect in March. The process is usually overseen by DfT officials.

The Office for Budget Responsibility's forecasts for interest rates are a key element of its predictions for future government interest costs and therefore borrowing.

This means Reeves could have more room for manoeuvre at the Budget if the fiscal watchdog expects lower inflation and interest rates.

The government is already moving to link key subsidies for renewable energy to the lower rate of inflation measured by CPI.

Last month it launched a consultation on linking payments to renewable power station owners under a legacy subsidy programme known as the renewables obligation (RO) scheme to CPI, rather than RPI as currently.

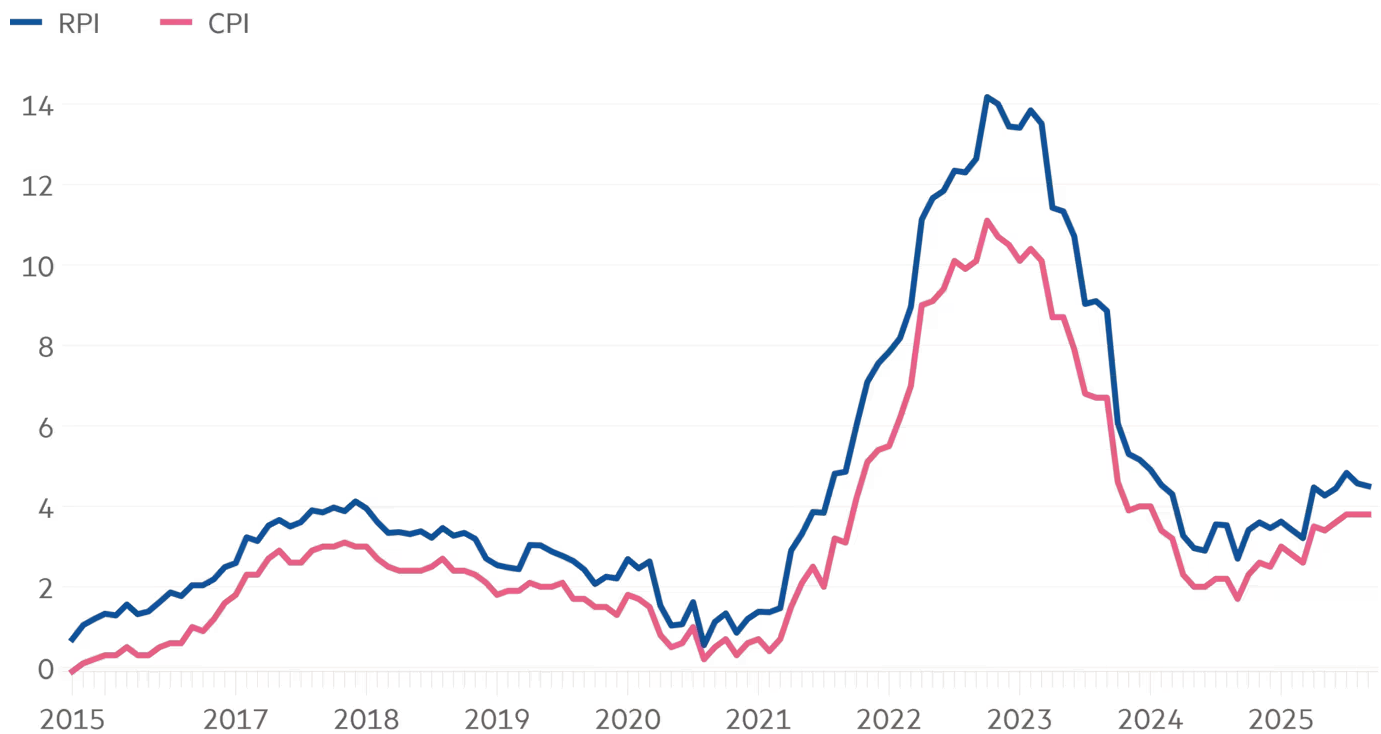
The UK has been gradually moving away from the use of the RPI, which is published by the Office for National Statistics but not badged as an official statistic. A range of prices are still linked to the index, however, including rail fares, student tuition fees, and a range of government duties.

The RPI uses a different formula to the CPI and has different components, which mean that it has run around 1 percentage point higher on average over the long term.

Rail ticket price increases each year are typically the rate of inflation plus 1 percentage point and are set using July's figures. RPI in July was 4.8 per cent, while CPI was 3.8 per cent.

UK inflation has been consistently higher using the RPI measure

RPI and CPI inflation (year on year % change)



Source: LSEG

“In this world of high inflation expectations, getting the numbers down over six to nine months is really important for the optics and in helping open the door for more Bank of England rate cuts,” said Victoria Clarke, UK chief economist at Santander.

One former Treasury mandarin said that the Treasury “has been trying to get the [transport] department to shift to CPI for literally years”.

A DfT spokesperson said no decisions had been made on rail fares “and we won’t pre-empt the Budget”.

Officials said the government has made fares and ticketing reform a key priority within its wider rail nationalisation programme, but that it is too soon to predict what next year’s fare increase will be.

One suggested reform involves reducing the number of types of tickets that passengers can buy. In a consultation published last month, officials said ticket simplification, if implemented in April 2026, would save consumers around £80mn in the financial year.

The Bank of England has pointed to changes in regulated prices in areas such as energy and water as part of the reason for the recent upsurge in inflation to 3.8 per cent — nearly twice the official target.

In its latest rate-setting meeting the BoE opted to leave rates [unchanged](#), but governor Andrew Bailey left the door open to a reduction in rates as soon as December.

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